EU I: The Evolution of the EU (AUW)

Political Science — Master Notes · by Jakob V. Stangel

Required reading: McCormick, J. (2021), *Understanding the European Union: A Concise Introduction*, Palgrave Macmillan (**pp. 45–66**) · Wiener, A., Börzel, T. & Risse, T. (eds) (2019), *European Integration Theory*, 3rd ed., OUP (**pp. 44–49** = neofunctionalism; **pp. 64–70** = liberal intergovernmentalism).

Theme of the lecture. How did **six states cooperating after WWII** become a **deeply integrated regional political system** of (up to) 28? The lecture does two things: **(1)** tells the **story** — the twin processes of **deepening** (more policy areas, more shared authority) and **widening** (more member states), through treaties, bargains and crises; and **(2)** asks the **why** — explaining that story through the two great rival theories of integration, **neofunctionalism** (integration is driven by *spillover*) and **liberal intergovernmentalism** (integration is what *states bargain for*). It opens a new Part: the EU as a **political system** in its own right — neither an ordinary international organisation nor a state.

> ★ **The heart of the lecture:** European integration has advanced along **two dimensions** — **DEEPENING** (authority moves to the European level in more and more policy areas) and **WIDENING** (more states join). The **central question** is *why it developed this way*, and there are two rival answers: **neofunctionalism** — integration has an **autonomous, expansive logic** (*spillover*: integrating one area creates pressure to integrate the next); vs **liberal intergovernmentalism** — integration is a **controlled series of rational state bargains** (states form domestic preferences, bargain over the gains, and build institutions to lock in the deal).
> **Red thread:** is integration a runaway process that outgrows what states intended (NF), or exactly what powerful states chose (LI)?

Key concepts to apply: *European integration* (Haas's definition) · *supranational vs intergovernmental* · *deepening vs widening* · *the Community method* · *the four freedoms / common market* · *spillover* (functional · political · cultivated) · *permissive consensus → politicization* · *national preferences* · *asymmetrical interdependence* · *credible commitments* · *pooling vs delegating sovereignty*.

What is European integration?

Core: integration is a **process** by which states **increasingly cooperate, create common rules and institutions, and exercise some authority *jointly*** — changing **where decisions are made, what states can do alone, and what they do together.** It is at once an **institutional** process (building common bodies) and a **political** one (contested, driven by interests and bargaining).

- **The classic definition — Haas (1958):** integration is "*a process whereby political actors in several distinct national settings are persuaded to shift their **loyalties, expectations and political activities toward a new centre**, whose institutions possess or demand jurisdiction over the pre-existing national states.*" → Note the three things that move to the "new centre": **loyalties, expectations, activities.** (This definition is itself *neofunctionalist* — hold that thought for the theory section.)
- **Two faces of the process:** it is **institutional** (creating shared bodies with real authority) *and* **political** (about who wants what, and who bargains hardest). The EU is "the most developed example

of this process in Europe."

The EU: neither a typical international organization nor a state (*sui generis*)

Core: the EU is a **new kind of political animal** — it combines **supranational** and **intergovernmental** governance, so it fits neither box.

	Like this…	…but unlike this
vs an international organization	member states **remain sovereign**; national governments keep major areas of authority	EU institutions **exercise real authority** where states have **transferred or pooled** it — ordinary IOs can't bind members this way
vs a state	it makes binding rules across a territory	there is **no single European sovereign government** replacing the member states

- **The two logics it combines** (the whole Part III in one distinction):
  - **Supranational** = authority **above** the states: common institutions (Commission, Court, Parliament, ECB) can make and enforce rules that bind members, sometimes by **majority** (so a state can be **outvoted**).
  - **Intergovernmental** = authority **between** the states: decisions taken by governments bargaining as sovereign equals, each keeping a **veto**.
  - *In plain terms:* in some policy areas Europe acts like a would-be federation (supranational); in others it's a club of sovereign states (intergovernmental). The EU is the **mix** — which is exactly why the two theories fight over how to read it.

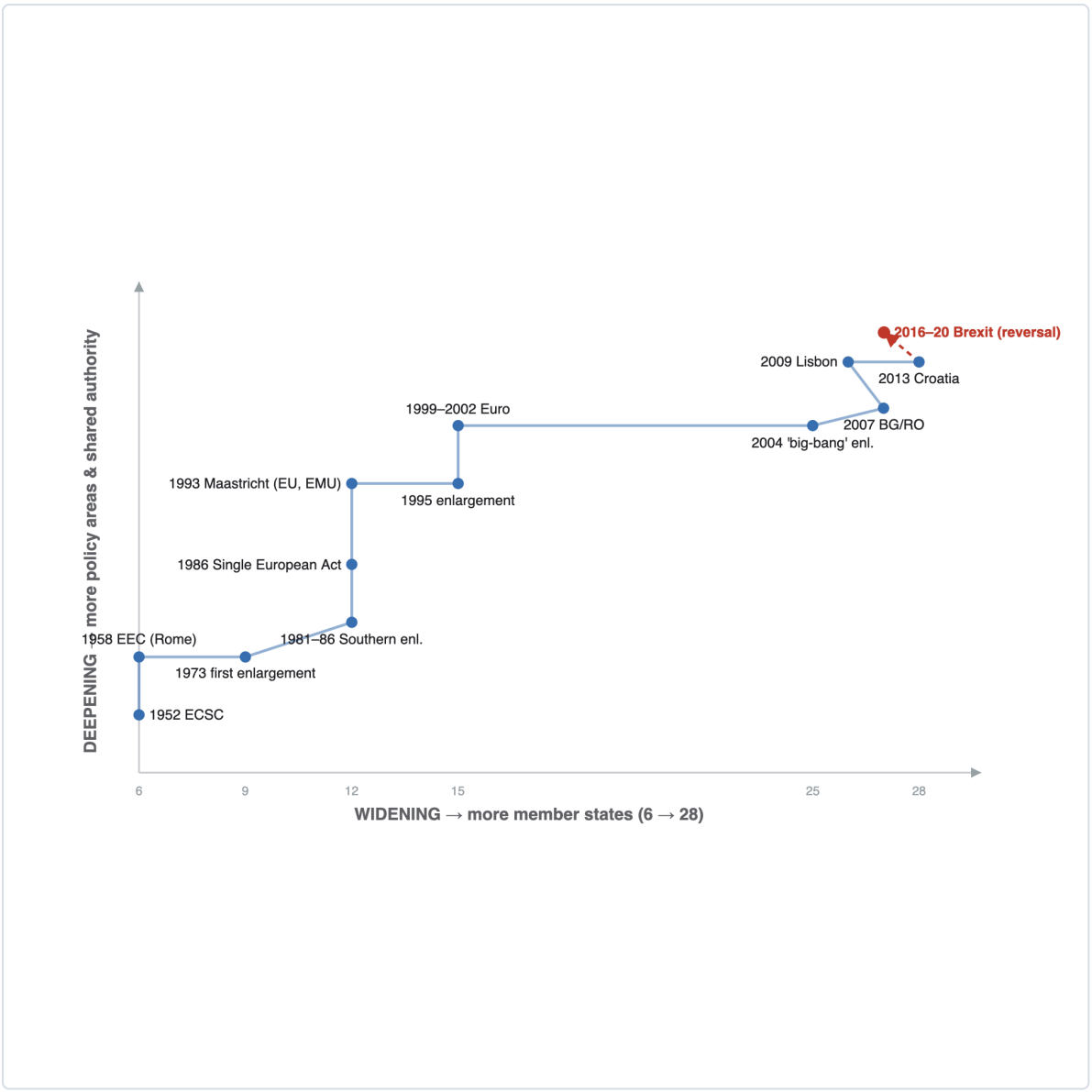
★ Deepening & widening — the two dimensions of integration

Core: integration grows in **two directions at once**, and keeping them apart is the key analytical tool of the lecture (and the take-home exercise).

	DEEPENING	WIDENING
What grows	the **scope & depth** of integration — more policy areas become European; common institutions/rules gain more authority	the **territory** — more **states join**, so EU rules cover more ground
Direction	"**vertical**" — authority moves *upward* to the European level	"**horizontal**" — the club gets *bigger*
Examples	ECSC → EEC → single market → euro; each treaty pooling more	6 → 9 → 12 → 15 → 25 → 27 → 28 members

- **They often happen together** — e.g. the **Single European Act** (deepening: the single-market push) coincided with **Southern enlargement** (widening). And they can pull against each other: a **wider** EU of very diverse members is harder to **deepen** (more vetoes, more varied interests) — which is why treaties like **Nice (2001)** had to *reform the institutions* so a larger Union could still function.

- **Integration can also go *backwards*** — **Brexit** is **widening in reverse** (a member leaves). So the full set of possibilities is: **deepening · widening · both · contestation · disintegration.**



How to read it. Each dot is a milestone plotted by **how many members** the club had (→ right = wider) and **how much authority** had moved to the European level (↑ up = deeper). The path climbs **up-and-to-the-right**: the EU got **both deeper and wider** over 60 years — but not smoothly. Long **horizontal** stretches (e.g. **2004** "big-bang" enlargement) are *pure widening* — lots of new members, no new depth that year. **Vertical** jumps (**Maastricht 1992**, the **euro**) are *pure deepening* — same members, much more shared authority. The **red arrow** is **Brexit**: for the first time the path moves **left** — integration reversed. *Use this map to answer the take-home exercise: classify each event as deepening, widening, both, or reversal.*

Why did integration begin after WWII? (McCormick, ch. 3)

Reading: McCormick, *Understanding the European Union*, ch. 3 "The Evolution of the EU" (**pp. 45–66**).

Core: the EU was "**born out of the ruins of the Second World War.**" Three post-war needs drove it — **economic reconstruction, security in the Cold War, and stopping European nationalism from**

causing a third war — and the linchpin of the whole project was **Franco-German reconciliation.**

- **The three needs** (McCormick's frame): **(1)** rebuild shattered economies (agricultural output had **halved**); **(2)** provide **security** as the USSR loomed and the Cold War set in; **(3) tame nationalism** — the nation-state was "discredited by the war."
- **Franco-German reconciliation = the master key.** The belief: if the two historic enemies could be bound together, broader integration could follow. This is why the first step was **coal and steel** — "the building blocks of industry" and the base of German (Ruhr) power: pooling them made West Germany **reliant on trade with its neighbours** *and* eased **French fear** of German industrial revival.
- **The American scaffolding** (integration was "underwritten by the US"):
  - **Marshall Plan (1948–51): ~$12.5 bn** (~$132 bn in 2020 money) of US aid via the **OEEC (Paris)** — it "**encouraged European governments to work together**" and highlighted their economic **interdependence**.
  - **NATO (1949):** the security shield ("an attack on one = an attack on all") under which integration could safely proceed.
- **The false start — defence first (and why it failed).** An ambitious **European Defence Community (EDC)** + political community was proposed (1950) but **the French National Assembly rejected the EDC in 1954** (no British support; French fear of German rearmament; national humiliation at **Dien Bien Phu**). → *Lesson the founders learned:* integrate through **low-politics economics first** (Monnet's "step by step through concrete achievements"), not high-politics defence. *(This is exactly the sequence neofunctionalism theorises.)*
- **Suez (1956)** hammered the point home: Britain and France discovered they were **no longer world powers**, and Britain began to "look to Europe."

★ The evolution timeline — deepening & widening in action

Core: the whole story on one page. Read each row as **deepening** (authority moves up) or **widening** (members join) — the diagram above plots it.

Year	Milestone	D/W
1950	**Schuman Declaration** (9 May; now *Europe Day*) — pool Franco-German coal & steel	—
1951/52	**Treaty of Paris → ECSC** (the Six); first **supranational** transfer of powers	**Deepen**
1957/58	**Treaties of Rome → EEC + Euratom**; goal of a **common market** in 12 yrs	**Deepen**
1968	**Customs union** declared; **Common Agricultural Policy (CAP)**	**Deepen**
1965–66	**Empty-chair crisis** (de Gaulle) → **Luxembourg Compromise** affirms the **national veto**	*(stall)*
1973	**First enlargement:** UK, Ireland, Denmark (Norway says no)	**Widen**
1979	Direct elections to the **European Parliament**	Deepen
1981 / 1986	**Southern enlargement:** Greece (1981); Spain & Portugal (1986)	**Widen**
1986/87	**Single European Act** — complete the **single market** by 1992	**Deepen**
1992/93	**Maastricht Treaty → the "European Union"** (pillars, EMU, citizenship)	**Deepen**
1995	Austria, Finland, Sweden join	**Widen**
1999 / 2002	**The euro** — electronic 1999, notes & coins 2002	**Deepen**
1997 / 2001	Treaties of **Amsterdam** (Schengen into EU law) & **Nice** (institutional prep)	Deepen
1993 / 2004 / 07 / 13	**Copenhagen criteria** (1993); **"big-bang" East** (2004, 10 states); Bulgaria/Romania (2007); Croatia (2013 → **28**)	**Widen**
2005 → 2009	**Constitutional Treaty rejected** (France, NL) → salvaged as the **Treaty of Lisbon** (2009)	Deepen
2016 / 2020	**Brexit** referendum (2016) → UK leaves (2020)	**Reverse**

From coal & steel to a common market (1950–68)

Core: integration began **narrow and sectoral** (coal + steel) and **expanded outward** into a general common market — the pattern neofunctionalists call spillover.

- **The Schuman Declaration (9 May 1950)** — drafted with **Jean Monnet**, announced by foreign minister **Robert Schuman**: place French & German coal and steel under a **common High Authority**, "a first step in the federation of Europe," making war between them "not merely unthinkable, but **materially impossible.**"
- **ECSC (Treaty of Paris 1951; began 1952).** The **Six — France, West Germany, Italy, Belgium, the Netherlands, Luxembourg** — created the **first supranational** body (High Authority under Monnet, + Council, Assembly, Court). Modest powers, but it "**proved a point about the feasibility of integration.**"
- **Treaties of Rome (1957) → EEC + Euratom (1958).** The same Six commit to a **common market** within 12 years (free movement of **people, money, services** + common external tariff), plus

common **agriculture, trade, transport** policy. The Assembly becomes the **European Parliament** (1962).

- **The customs union (1968)** formed *ahead* of schedule, and the **CAP** created a single agricultural market with guaranteed farm prices. → *This early momentum looked like a vindication of neofunctionalism.*
- **But the state struck back:** the **1965–66 empty-chair crisis** — **de Gaulle** boycotted the Council over Commission power, voting and the budget — was resolved by the **Luxembourg Compromise**, which **affirmed the national veto.** → *The first big evidence for the intergovernmental side.*

The enlargements — widening from 6 to 28

Core: the club grew in **waves**, each changing the EU's character; from the East it came with **conditionality** (the Copenhagen criteria).

- **1973 — first enlargement: UK, Ireland, Denmark.** Britain had stayed out (championing the looser **EFTA**, 1960), applied late, and was **vetoed twice by de Gaulle** (1963, 1967) — who feared British membership meant **US influence** — before finally joining after he resigned. **Norway's** electorate said no (as it would again in 1994).
- **1981/86 — Southern enlargement: Greece, then Spain & Portugal**, anchoring their **new democracies** after dictatorship. Doubling to **12** members **reduced Franco-German dominance** and shifted the internal economic balance.
- **1995 — Austria, Finland, Sweden** (rich EFTA states).
- **The Copenhagen criteria (1993)** — the conditions for (mainly Eastern) applicants: **(a)** stable **democracy**, human rights, rule of law; **(b)** a functioning **market economy**; **(c)** capacity to adopt the **acquis communautaire** (the whole existing body of EU law). → *Enlargement wasn't just adding territory; it drove **domestic change** in applicants — "conditionality."*
- **2004 "big-bang" — 10 states** (Cyprus, Malta + 8 post-communist: Czechia, Estonia, Hungary, Latvia, Lithuania, Poland, Slovenia, Slovakia); **2007** Bulgaria & Romania; **2013** Croatia → **28 members, ~500 m people.** Symbolically, the **end of the Cold War division of Europe.** (Candidates today: Albania, Montenegro, North Macedonia, Serbia, Turkey.)

Deepening: the single market, Maastricht & the euro

Core: from the mid-1980s integration went **political**, not just economic — the single market, then a genuine **Union** with a **single currency.**

- **Single European Act (1986/87)** — the first big treaty change since Rome: complete the **single market by 31 Dec 1992** (scrap customs/passport controls, harmonise standards, mutual recognition of qualifications), new powers on **environment, R&D, regional** policy, and made **EMU an objective.** *(Related but separate: the **Schengen Agreement (1985)** abolished internal border controls — folded into EU law by Amsterdam.)*
- **Maastricht Treaty (1992/93) → "the European Union."** The turning point from *Community* to *Union*:
  - a **three-pillar** structure — (1) the European Community; (2) **Common Foreign & Security Policy**; (3) **Justice & Home Affairs** *(pillars 2–3 = intergovernmental; abolished by Lisbon)*;
  - the **Delors plan for Economic & Monetary Union** confirmed;

    - **EU citizenship** created; new EP powers (**codecision**).
    - Integration was now "**increasingly political as well as economic.**"
- **The euro** — electronic **1999**, notes & coins **2002**; adopted by all but **Denmark, Sweden, the UK**. Members give up **national monetary policy** and become deeply interdependent — "a clear example of **deepening.**"
- **Amsterdam (1997/99)** brought Schengen into EU law and expanded EP powers; **Nice (2001/03)** resized the institutions to **prepare for a much larger membership** — because the EU was becoming **both deeper and wider** while its institutions "had been designed for a smaller, less integrated system."
- **Constitutional Treaty → Lisbon.** A 2004 **Constitution** was **killed by referendums in France & the Netherlands (2005)** — founding members. Most of it was salvaged in the **Treaty of Lisbon (2009):** a permanent **European Council President**, a **High Representative** for foreign affairs (+ diplomatic service), **pillars abolished**, more **QMV** (but the **veto kept** for foreign/defence policy & tax), a single EU legal personality, and — for the first time — an explicit **right to leave** (Article 50).
  → *The 2005 rejection shows integration "depends on **domestic political agreement** and can encounter resistance."*

From "permissive consensus" to politicization — and the era of crisis

Core: early integration was quietly **elite-driven**; from the 1990s it became **loudly contested** — and from the late 2000s the EU hit a cascade of overlapping crises.

- **The shift** (a key exam concept): the old "**permissive consensus**" — publics barely noticed, elites decided (recall neofunctionalism's assumption) — broke down after the **Danish "no" to Maastricht (1992)**. Integration became **politicized**, tied to hot issues: **economic distribution, national sovereignty, migration & borders, identity.** Enter **Euroscepticism.**
- **The** "**polycrisis**" (Juncker's word) / McCormick's **Seven Crises**, roughly in order:
    1. the **Constitutional Treaty** failure (2005);
    2. the **global financial crisis** (from 2007, imported from the US housing crash);
    3. the **euro / sovereign-debt crisis** (from 2009 — Greece's deficit at ~**13%** vs the 3% limit; bailouts by the EU/**ECB/IMF** conditional on **austerity**; riots in Athens; "Grexit" fears);
    4. the **rule-of-law crisis** (**Hungary & Poland** — judicial capture, Orbán's authoritarian turn);
    5. the **refugee crisis** (from the **Syrian war**; 2014–15 surge; west–east splits; the EU–**Turkey** deal);
    6. **Brexit** (below);
    7. the **Covid-19 pandemic** (2020) — the only crisis with no EU-internal cause, yet a severe test of united action.
- These crises "became **moments in which the scope, limits and distribution** of European cooperation were **contested**." *(Great material for the theories: each crisis can be read as spillover pressure **or** as an interstate distributional bargain.)*

Brexit — integration in reverse

Core: in **June 2016** UK voters chose to **leave** (**52%–48%**, 72% turnout); the UK formally left in **January 2020.** Brexit proves European integration is **not one-directional** — the possibilities include **deepening, widening, contestation, *and* disintegration.**

- **What it revealed** (McCormick): Leave support was **highest among older, less-educated voters**; it rode **low public knowledge of the EU** ("verifiably false claims" in the campaign) and broader forces — declining faith in government, people "left out" of integration's gains, and a **rejection of globalization.** It cost two PMs (Cameron, May) and triggered a constitutional crisis; Scotland, NI and London voted Remain.
- **Two readings:** either a **warning** of the costs of abandoning the EU (Britain "weaker outside than in") and a chance for the remaining 27 to **deepen** (e.g. defence) — *or*, more darkly (Bellamy & Castiglione), a sign of "**fragmentation and political disintegration.**"

★ Why does European integration happen? — two rival theories

Core: the lecture's *explanatory* half. There are **two families** of explanation, and they disagree fundamentally about **what drives integration and who is in control.**

	Neofunctionalism (Haas)	**Liberal Intergovernmentalism (Moravcsik)**
One-line claim	integration is the result of **spillover**	integration is the result of **member-state governments pursuing the national interest**
Who's in charge?	elites, interest groups, firms, **supranational institutions**	**states** — "masters of the treaty"
Is it automatic?	**semi-automatic & expansive** — one step forces the next	**deliberate & controlled** — states choose each step

The sharpest contrast: neofunctionalism says integration develops an **autonomous logic that pulls sovereignty upward beyond what states intended**; LI says integration is **exactly what powerful states intended** — a controlled sequence of bargains. Everything below fills in these two pictures. *(Readings: neofunctionalism ch. by Niemann, Lefkofridi & Schmitter; LI ch. by Moravcsik & Schimmelfennig — each theory presented by its own proponents.)*

Neofunctionalism — integration through spillover (Haas 1958)

Reading: Wiener et al., ch. on Neofunctionalism (**pp. 44–49**). Founder: **Ernst B. Haas**, *The Uniting of Europe* (1958), written to explain the **ECSC**; revised by **Leon Lindberg**, **Philippe Schmitter**, Scheingold. Intellectual root: **functionalism (David Mitrany)**.

Résumé. Neofunctionalism is an "**approach**" (Haas's own word) that explains the **dynamics of integration once it has started** — deliberately *not* why it began or who joins. Its big idea: integration is **driven forward by its own consequences.** Cooperating in one sector creates problems, interests and institutions that generate **pressure to integrate further** — the process "**spills over**" from sector to sector, semi-automatically, carried by **elites and supranational bureaucrats** rather than mass publics. It is **transformative**: it changes actors' very **loyalties and expectations**, pulling them toward the "new centre."

Core: integration is **incremental, elite-driven, positive-sum, and self-expanding.** Actors "**stumble**" from one decision to the next — often "under the pressure of crises and impending deadlines" — and each step creates the conditions for the next.

- **Main actors:** national **and** supranational **elites**, interest associations, firms, political parties — and crucially the "**Eurocrats**" (Commission / the ECSC's High Authority) who can become **agents of further integration.** *Not* just governments.
- **Core assumptions** (the driving forces):
  - actors are **self-interested but can *learn* and *change* their preferences** as they experience the benefits of cooperation;
  - integration is **incremental** → produces **unintended consequences** that require more integration to fix;
  - regional institutions, once created, **acquire autonomy** and push for more integration (they "**seek more autonomy**");
  - integration is **positive-sum** — the "supranational style" means no unconditional vetoes; instead an "**upgrading of common interests**" (package deals that expand the common ground);
  - growing **economic interdependence** means functional problems can't be solved within national borders.

SPILLOVER — the master concept, in three types

Core: **spillover** = the tendency for integration in one area to **create pressures to integrate in others**. Haas's "**expansive logic of sector integration**": integrating one sector "begets its own impetus toward extension of the entire economy." It comes in **three forms** — learn to name and distinguish them:

Type	Who/what drives it	Mechanism (how the pressure is created)
Functional spillover	the **technical interdependence** of sectors	integrating one sector creates **practical problems** solvable only by integrating the **adjacent** sector — integration expands almost mechanically outward
Political spillover	**national elites & interest groups**	actors affected by integration **shift their expectations, lobbying and loyalties** to the European level; repeated contact breeds **"bureaucratic interpenetration"** and **socialization**
Cultivated spillover	**supranational institutions** (Commission / High Authority)	the "Eurocrats" **actively broker** more integrative deals — "**splitting the difference**" and **"upgrading common interests"** — cultivating further integration

- **Common logic:** *existing* integration generates pressures — functional, political, and cultivated — that **push the process further.** (Deck discussion: **free movement of workers** is already integrated → what new problems does it create? An Austrian professional living, working, paying taxes and retiring in **Portugal** needs integrated **social security, tax, pension, healthcare and qualification-recognition** rules → integration spills into all of those.)
- **Where it went wrong (be able to say this).** Neofunctionalism looked **vindicated** into the mid-1960s (ECSC → EEC/Euratom; the customs union formed *ahead* of schedule; the CAP). Then the "**empty chair" crisis (1965–66)**: French President **de Gaulle** paralysed the Community and the

Luxembourg Compromise (1966) restored the **national veto** — directly contradicting the assumption of **automaticity.** Haas himself later called the theory "**obsolescent**" **(1976).** It **revived in the mid-1980s** with the single-market push (and is used again to explain the euro crisis — see below).

Liberal Intergovernmentalism — states bargain (Moravcsik 1998)

Reading: Wiener et al., ch. on Liberal Intergovernmentalism (**pp. 64–70**). Founder: **Andrew Moravcsik**, *The Choice for Europe* (1998); roots in **Stanley Hoffmann's** intergovernmentalism (1966). Today LI is the field's "**baseline**" **theory** — the standard everyone tests against.

Résumé. LI is the great **state-centric** rival. Its blunt claim: integration is "**a series of rational choices made by national leaders.**" States remain "**masters of the treaty**"; the EU is best seen as "**an international regime for policy coordination.**" But LI is **not realism** — it takes **domestic economic interests** seriously and treats institutions as useful. Its power is a clean **three-stage model** of how any integration decision is made.

Core: two assumptions — **(1)** states are the **critical, unitary actors** (bargaining as sovereign equals, no central authority above them); **(2)** they are **boundedly rational** (they calculate costs/benefits and pick the option that maximises utility). From these follows the three-stage sequence, **each stage explained by a separate theory:**

Stage	The question	The theory / mechanism
1 · National preferences	*what does each state want?*	a **liberal** theory: preferences are **issue-specific**, set by **domestic economic & societal interests** (producers vs taxpayers), *not* a single goal like "security"
2 · Interstate bargaining	*what deal gets struck, and who gains?*	an **intergovernmental** theory: **hard bargaining** over the distribution of gains; power comes from **asymmetrical interdependence**
3 · Institutional choice	*why build/empower institutions?*	a **regime** theory: institutions **lock in credible commitments** and cut transaction costs

- **Stage 1 — national preferences (the "liberal" bit).** What a government wants is **built from the bottom up** out of domestic interests — and it's **issue-specific** (agriculture ≠ environment ≠ defence). Empirically, Moravcsik found state preferences on integration reflected **concrete economic interests** (esp. the post-war shift to intra-industry trade) far more than Cold-War security or "European ideals."
- **Stage 2 — interstate bargaining & asymmetrical interdependence (the key mechanism).** Preferences rarely match, so states **bargain hard** over how to split the gains — with **credible veto threats, side-payments, and threats of exclusion.** Bargaining power comes from **asymmetrical interdependence**: *In plain terms* — **the state that needs the deal *least* is the most powerful**, because it can most credibly walk away (its "**outside option**" is better). Big, less-dependent states dominate; outcomes tend toward the **lowest common denominator.** *(Direct shot at neofunctionalism:* LI says supranational "ideational entrepreneurs" like Monnet or Delors are **not** a fundamental cause —

Commission mediation is a mere convenience, "no more than… airplanes, email, texts, or telephones.")*

- **Stage 3 — why create institutions? credible commitments.** States **pool** sovereignty (e.g. **qualified-majority voting**) or **delegate** it (to the **Commission, ECB, ECJ**) not because they lose control but to make their **commitments credible** — to stop each other **defecting** from the deal later (a **prisoner's-dilemma** fix). Institutions cut transaction costs, share information, monitor compliance. **The twist:** for LI the EU's supranational bodies are **weak and endogenous** (tiny budget, no coercion, rules enforced by *national* officials); the *real* guarantee of commitment is **domestic** — empowering national executives, courts and pro-deal groups.
- **Critiques of LI (be able to say this):** it explains the **grand treaty bargains** (Rome, SEA, Maastricht) well but is weak on **day-to-day EU politics**; it treats **institutions too thinly** (as mere instruments), underplaying how they feed back and reshape interests; and the **unitary-state** assumption flattens messy domestic pluralism.

★ Worked case — the eurozone / sovereign-debt crisis, explained twice

Core: the deck's payoff: take **one event** — the crisis producing new European-level coordination — and show how **each theory explains the same facts differently.** This is the exam template (claim → mechanism → evidence → how the *other* theory would explain it).

	Neofunctionalist reading	Liberal-intergovernmentalist reading
What drove the response	a **functional gap** in EMU's design created **spillover pressure**	**member states** bargained over who pays
The mechanism	monetary policy was pooled at the **supranational** level while **fiscal** policy stayed **national** — this discrepancy generated integrative pressure to close the gap	states calculated costs/benefits and did **hard bargaining** over bailouts, rescue funds and the Fiscal Compact
Key actors	**BusinessEurope** lobbied for more integration; financial markets signalled the same; the **Commission, Parliament and even the ECB** pushed for more (the ECB "breached the impartiality rule" to demand a **Banking Union**)	a **Northern vs Southern** coalition, each answering to its own citizens; the **Northern** bloc had more bargaining power
The outcome	crisis + deadlines → **incremental** deepening (Banking Union), institutions seeking **more autonomy**	the North **delayed support** to force the South to accept the **Fiscal Compact** (more monitoring) → EMU deepened via **budget control / European Semester**

- **Why the case is powerful:** the **same deepening** (tighter EMU) is read by NF as **spillover** (the logic of EMU forced the next step) and by LI as a **distributional bargain** (the powerful creditor states extracted austerity in exchange for rescue). Neither is obviously "wrong" — which is the point of having **two theories.** *(Take-home: run the same four-step analysis on **EU defence integration**.)*

★ Neofunctionalism vs Liberal Intergovernmentalism — compared

Dimension	Neofunctionalism	Liberal Intergovernmentalism
Founder / key work	Haas, *The Uniting of Europe* (1958)	Moravcsik, *The Choice for Europe* (1998)
Key actors	elites, interest groups, firms, **supranational institutions**	**states** (unitary, boundedly rational) — "masters of the treaty"
What drives integration	**spillover** (functional + political + cultivated) — incremental, semi-automatic	**rational state choices**: domestic preferences → bargaining → institutions
Supranational institutions	**autonomous engines** that reshape national interests	**endogenous instruments** to make commitments credible
Logic of bargaining	**positive-sum**, "upgrading common interests"	**distributive hard bargaining**, lowest common denominator
Loyalties shift upward?	**yes** — toward a "new centre"	**no** — states keep preeminence & legitimacy
Explains well	the **expansive early phase** (ECSC → EEC), day-to-day "creep," arguably the **euro crisis**	the **grand treaty bargains** (Rome, SEA, Maastricht)
Explains badly	the **empty-chair crisis / de Gaulle**, stagnation, the return of the veto	**everyday politics**, autonomous supranational agency, institutional feedback

- **The takeaway for essays:** don't treat them as right/wrong but as **two lenses.** Neofunctionalism is strongest where integration seems to **outrun** what governments planned (spillover, unintended consequences, the Commission's creep); LI is strongest at the **big set-piece treaty moments** where you can see governments **bargaining hard over the terms.** A good answer names **which phenomenon** each explains best — and uses the **eurozone case** to show the same event through both.

★ Fun facts & memorable details (EU I: Evolution)

> Sticky bits from the first EU lecture.

- **The EU began with *coal and steel* on purpose.** Placing the raw materials of war under a common authority (Schuman, 1950) was meant to make another Franco-German war "**materially impossible**" — peace engineered through economics.
- **Spillover means the EU "stumbles" forward.** Haas's actors don't march to a master plan — they "**stumble from one decision to another**," often "under the pressure of **crises and impending**

deadlines." Integration by muddling through.

- **Haas fired his own theory.** After de Gaulle's empty chair broke the spell, the founder of neofunctionalism pronounced it "**obsolescent**" **(1976)** — only for it to stage a comeback in the 1980s.
- **Moravcsik's great put-down of the Commission:** supranational mediators are no more a *cause* of EU bargains than "**airplanes, email, texts, or telephones**" — useful logistics, not the driving force.
- **The EU is astonishingly *small* as a state-like thing:** an administration "**barely the size of a European city of a million people**," **~2%** of European public spending, and **no coercive capacity** — most EU law is enforced by **national** officials. (LI's proof that states stay in charge.)
- "**Masters of the treaty**" — LI's memorable label for the member states: whatever Brussels does, the governments still hold the pen (they wrote the treaties and can rewrite them).
- **Brexit made a theoretical point real:** integration is **not one-directional.** The arrow can point **left.**
